

The complaint

Mr and Mrs S are unhappy about how insurers at the Society of Lloyd's (Lloyd's) dealt with a home insurance claim on their unoccupied property insurance policy.

What happened

In November 2018, Mr and Mrs S took out an unoccupied property insurance policy with insurers at Lloyd's for a property that they intended to refurbish. When they took out the policy, Mr S disclosed to the insurers that they intended to carry out some structural work at some point in the future. As a result, a Structural Works Clause was added to the policy.

In February 2019, before any works had started, there was an escape of water from a pipe in the attic, which caused damaged to the property. Mr and Mrs S contacted the insurers to make a claim. The insurers arranged for the property to be inspected. However, in March 2019, the claim was declined. This was because the Structural Works Clause that was in place meant that cover for an escape of water was not active on the policy.

A loss adjuster acting on behalf of Mr and Mrs S complained to the insurers. He argued that because the structural works had not started the endorsement should not apply. The insurers replied and maintained its position that the endorsement applied from the point it was added to the policy and until such time as the works were complete, regardless of whether the works had actually started.

The loss adjuster submitted a further complaint. Lloyd's considered the complaint and said that it thought the wording about the endorsement had been clear. It accepted that Mr S had been honest about the structural work and that it would not start for some time. It said that it was the position of the insurers to apply such endorsements from day one when it was made aware that works were intended at some point in the future.

The loss adjuster complained to this service on behalf of Mr and Mrs S. Our investigator didn't uphold the complaint, as he decided that the wording of the insurance policy was clear.

As Mr and Mrs S did not agree, the complaint has been referred to me.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

In Mr and Mrs S's Schedule of Cover it includes details of the endorsements and says:

"The following Endorsements apply at all times for the property stated in the Schedule of Cover."

It goes on to say:

“This insurance does not cover loss or damage caused by Storm or Weight of Snow whilst the property is not wind and weatherproof. In addition this insurance does not provide cover for Escape of Water or Trace and Access until all the structural work, as disclosed to us, has been fully completed. When all the structural work has been completed cover for Escape of Water and Trace and Access will be reinstated subject to the terms of the Heating Clause (Unoccupied Property) as shown in this Schedule Of Cover.

On this basis, I think it is clear that, by reading the endorsements section as a whole, escape of water would not be covered as part of the policy and that the timescales for this were “*at all times*” and “*until all the structural work had been completed*”. I therefore think it was in line with the terms of the policy not to cover this escape of water, even though no work had started at the property.

Mr S also said to our investigator that if there was no intention of providing escape of water cover from inception then there was no purpose in applying the heating clause. I take this to mean that when the insurer’s loss adjuster carried out its initial assessment, one of the issues it checked was whether the heating had been on, in line with the terms described in the policy.

I am aware that Mr S says that while the loss adjuster was at his property, he told him that all the conditions had been met, including the heating clause. I do not know exactly what was said in that conversation, but the report that was then produced did not actually say whether or not the heating clause had been complied with and, in effect, concluded that the heating clause was not a key issue, as the loss adjuster thought that the cause of the leak was an elbow joint failing. The report also referred to the loss adjuster wanting to “await confirmation of liability before proceeding with drying” and that it wanted to wait for a plumber’s report to confirm the cause of the escape of water. It therefore seems that the loss adjuster had not fully completed his assessment when he was at the property.

I am also aware that, in this case, the insurer retained the final decision on whether to accept the claim. The assessment by the loss adjuster and its report was an element of the assessment, but not the whole picture. It was the insurer who had to evaluate the report, along with other factors such as any endorsements on the policy, and decide how to proceed with the claim. When the insurer looked at all relevant factors, including the Structural Works Clause, it concluded that the claim was not covered.

Having considered all of the above, I cannot say that the claim should have been accepted. It explained in the policy wording that escape of water would only be covered after any structural work was completed and that condition was not met when the escape of water happened.

I am aware that this will be disappointing news for Mr and Mrs S but in the circumstances, I think this is the right decision.

My final decision

For the reasons I have given, it is my final decision that the complaint is not upheld.

Under the rules of the Financial Ombudsman Service, I’m required to ask Mrs S and Mr S to accept or reject my decision before 6 May 2020.

Louise O’Sullivan
Ombudsman